SOUTH OF MOUND

Multi-Family Value-Add Investment Opportunity

1635 & 1645 E Mound Street, Columbus, OH 43205

Investment Highlights

- **Turnkey value-add opportunity** in the high-demand South of Main neighborhood, just east of downtown Columbus
- **Strong cash flow from day one** with 96.6% current occupancy and stable rental income
- **Significant upside potential:** Current rents of $800-$900/unit can be increased to $1,250+ with light renovations to kitchens, bathrooms, and windows
- **Compelling returns:** 5.8% Year 1 Cash-on-Cash growing to 9.3% in Year 5, with a 5-year levered IRR of 23.8% and 2.70x equity multiple
- **Conservative leverage** at 68.6% LTC with healthy 1.35x debt service coverage
- **Additional value creation through self-management:** 16-unit portfolio is ideal size for in-house management, saving 4% of EGI and increasing LP returns

Deal Summary

Acquisition Price	**$1,500,000**
Renovation Budget	**$150,000**
Closing Costs	**$100,000**
Total Project Cost	**$1,750,000**
Senior Debt (6.8%)	$1,200,000
LP Equity Required	**$522,500**

Total Units	**16**
Price per Unit	**$93,750**
Total Building SF	**12,288**
Avg Unit Size	**700 SF**
Current Occupancy	**96.6%**
LTC Ratio	**68.6%**
Year 1 DSCR	**1.35x**

Projected Returns (5-Year Hold)

Year 1 Cash-on-Cash	5-Year Levered IRR	Equity Multiple
5.8%	**23.8%**	**2.70x**
Growing to 9.3% Year 5		

5-Year Cash Flow Projection

Year	NOI	Debt Service	Before-Tax CF	Cash-on-Cash
Year 1	$131,740	$99,946	**$31,794**	**5.8%**
Year 2	$137,343	$99,946	**$37,397**	**6.8%**
Year 3	$141,738	$99,946	**$41,792**	**7.6%**
Year 4	$146,274	$99,946	**$46,328**	**8.4%**
Year 5	$150,955	$99,946	**$51,008**	**9.3%**

Delinquency assumptions: Year 1: 2.0% | Years 2+: 1.0% | Ramp period: 1 year

Investment Strategy

This value-add opportunity allows us to acquire a stabilized, cash-flowing asset in a B- neighborhood with immediate positive returns while executing a straightforward renovation program to drive rents from current levels of $800-$900 per unit to market-leading rates of $1,250+ per unit. To emphasize deal stability, our pro forma underwrites to an initial stabilized rent of $960/unit with 3.2% annual growth.

Phase 1 (Months 1-6): Complete light renovations on turnover units including kitchen updates, bathroom improvements, and window replacements. These modest capital improvements will support rent increases toward $1,250/unit market levels.

Phase 2 (Months 6-18): Execute systematic unit turns as leases expire, maintaining high occupancy while upgrading remaining units to capture full market rents.

Value Enhancement: With 16 units, the property is an ideal candidate for self-management, which would save 4% of EGI and further enhance LP returns. This approach allows for direct control over rent increases and property operations.

Market Overview

The South of Main neighborhood (43205 zip code) is experiencing strong rental demand driven by its proximity to downtown Columbus. Recent comparable listings within a 1-mile radius demonstrate robust market fundamentals:

- 1774 E Main St: $1,003/month ($1.43/SF) for 1BR/1BA - 702 SF
- 1450 E Fulton St: $900/month ($1.38/SF) for 1BR/1BA - 650 SF
- 1551 Bryden Rd: $850/month ($1.79/SF) for 1BR/1BA - 475 SF
- 1855 E Rich St (multiple units): $750/month ($1.49/SF) for 1BR/1BA - 505 SF

Our underwriting assumes $960/unit ($1.37/SF) with 3.2% annual growth, while comparable properties support upside to $1,250+/unit. This conservative base emphasizes stability with clear room for value capture through renovations and operations.

Property Condition & Deferred Maintenance

The property is in good overall condition with minimal deferred maintenance:

- **1635 Building:** Roof replaced within the last year (no deferred maintenance)

- **1645 Building:** Roof approximately 15 years old (budgeted for replacement in renovation costs)
- Water heaters updated within past 10 years
- Furnaces approximately 15 years old (adequate remaining useful life)
- 8 detached garages for storage
- Full basements in both buildings for owner storage and operations

Next Steps

We are currently in negotiations on this off-market opportunity and are moving quickly to secure the property. This executive summary provides a high-level overview of the investment thesis. A comprehensive investment memorandum with detailed market analysis, renovation specifications, financial projections, and exit strategies is available upon request.
